

KEY HIGHLIGHTS

▶ **AI CAN REVOLUTIONISE THE INSURANCE SECTOR BY SIMPLIFYING PROCESSES, IMPROVING ACCESS, AND INTRODUCING PERSONALISED PRODUCTS**

▶ **AI-POWERED TOOLS LIKE CHATBOTS AND VOICE ASSISTANTS ARE BREAKING DOWN BARRIERS TO ENTRY, ESPECIALLY FOR THE RURAL POPULATION**

▶ **POLICY CHANGES, SUCH AS REMOVING GST ON PREMIUMS, ARE CRUCIAL TO MAKING INSURANCE MORE AFFORDABLE AND ACCESSIBLE**

▶ **LOW-COST INSURANCE PRODUCTS AND MICROINSURANCE INITIATIVES ARE EXPANDING COVERAGE TO VULNERABLE POPULATIONS**

▶ **COLLABORATION BETWEEN INSURERS, TECHNOLOGY PROVIDERS, AND THE GOVERNMENT IS ESSENTIAL TO ACHIEVE WIDESPREAD INSURANCE PENETRATION**



mediums for the end-to-end insurance process,” says Sarbvir Singh, Joint Group CEO of PB Fintech, an insurance platform. This has reduced the need for branch offices and has led to quicker processing, he adds.

Fraudulent claims have been a significant drain on the insurance sector. Here too, insurers are relying on AI to help address the issue. Its ability to identify anomalies and flag potential fraud in claims could ensure greater efficiency and trust, industry insiders feel.

Regional language AI chatbots and voice solutions can assist even those customers in smaller cities and towns who are not tech savvy. Quick onboarding processes can be enhanced through AI applications to minimise documentation and turnaround time. “Machine learning can predict risk and offer micro-insurance products that are suited for farmers, labourers, and SMEs, ensuring invulnerability and relevance,” says Chetan Vasudeva, Senior Vice President of Business Development at insurtech firm Elephant.in, which is part of Alliance Insurance Brokers. Besides, predictive modelling can identify strategically underserved areas that insurance agencies can expand to, Vasudeva adds.

AI can help analyse vast amounts of customer data to craft personalised insurance products tailored to individual needs. For example, health insurers can design plans based on lifestyle or genetic predispositions.

Challenges Ahead

While AI offers immense potential, there are some challenges related to technology that the insurance industry must address to ensure its solutions lead to the right kind of growth. Incorporating AI in operations requires significant investment in infrastructure, training, and technology—costs that smaller players

may struggle to bear.

In India, some customers may not be very financially literate or tech-savvy, which means that they can fall prey to mis-selling or deceptive marketing tactics, even when AI tools are used to recommend products. As insurers increasingly rely on AI, there will be a need for robust data security measures. Any misuse or breach of sensitive customer information can erode trust in insurers.

The insurance industry in India operates under strict regulatory oversight. Integrating AI tools while complying with regulations can be a complex and time-intensive process.

Vasudeva of Elephant.in says, “Expanding insurance coverage in countries with vulnerable groups like India is indeed a challenge, as people face challenges in terms of affordability and awareness; insurance is often seen as a non-necessity and an additional expense, in spite of government initiatives.” Especially in rural areas, he adds, there is a lack of understanding. Hence, insurance appears as an expense to them. Besides, even when people in rural areas are interested in insurance products, accessibility is often a challenge, he adds.

Policy Changes

The Insurance Regulatory and Development Authority of India (Irdai) has been trying to boost insurance penetration for years. Now it is giving it an extra push through its “Insurance for All” initiative. It has introduced a slew of reforms and relaxed some rules to achieve its vision.

Thanks to those efforts, many insurers are now offering low-cost products with premiums below standard market rates. This has been done to reach out to lower-income households, the youth, and people in smaller cities.

However, India’s Tier II and III cities still face challenges in ac-